

2022 P T D 1433

[Lahore High Court]

Before Jawad Hassan and Muzamil Akhtar Shabir, JJ

COMMISSIONER INLAND REVENUE

Versus

Messrs MASTER TILES AND CERAMIC INDUSTRIES, LTD.

S.T.R. No.67 of 2012, decided on 18th October, 2021.

Sales Tax Act (VII of 1990)---

---S.34A---SRO No.648(I)/2011, dated: 25-06-2011---Exemption from penalty and default surcharge---Retrospective effect---Scope---Taxpayer having paid sales tax and SED (Special Excise Duty) due from it is as much as entitled to the amnesty contemplated in SRO No.648(I)/2011, dated: 25-06-2011, as any other taxpayer who pays the due taxes after issuance of the SRO No.648(I)/2011, dated: 25-06-2011.

Shahzad Ahmad Cheema for Applicant.

Nabeel Ghuman for Respondent.

ORDER

Through this Reference Application under Section 47 of the Sales Tax Act, 1990, the order dated 11.01.2012, passed by learned Appellate Tribunal Inland Revenue, Lahore, in Sales Tax Reference Nos.701 and 702/LB/2011, has been challenged and inter alia, following questions of law stated to have been arisen from it for determination of this Court:-

- (i) Whether on the facts and in the circumstances of the case, the learned ATIR was justified to hold that the appellant having paid the amount of sales tax before the issuance of the said SRO was clearly entitled to the benefit of amnesty contemplated in the SRO 648(I)/2011 on 25.06.2011 whereas the appellant paid principal amount of sales tax on 16.10.2010 and 15.02.2011 when the SRO was not even in existence being issued on 25.06.2011?"
- (ii) Whether on the facts and in the circumstances of the case, the learned ATIR was justified to hold that the appellant having paid the Sales Tax due from him is as much entitled to the amnesty contemplated in SRO 648(I)/2011 on 25.06.2011 as any other taxpayer who pays the due taxes after issuance of 648(I)/2011 on 25.06.2011 whereas the SRO exempts whole of the amount of default surcharge and penalties payable by a person on an amount of Sales Tax outstanding against him on account of any audit observation subject to the condition that outstanding principal amount of sales tax is paid by 30th June, 2011?
- (iii) Whether on the facts and in the circumstances of the case, the learned ATIR was

justified to hold that the appellant is entitled to the amnesty contemplated in SRO 648(I)/2011 on 25.06.2011 for default of late payment for the tax periods May and June 2009 paid on 16.10.2010 and 15.02.2011 for which Orders-in-Original were passed on 26.01.2011 and 19.03.2011 much before the issuance of SRO dated 25.06.2011?"

2. At the outset, learned counsel for the Respondent-Taxpayer has tendered a copy of order dated 07.11.2018, passed by learned Division Bench of this Court, in Sales Tax Reference No.247267 of 2018, filed by the present Applicant against the present Respondent and stated that similar matter, as that of Reference in hand, has already been decided in favour of Respondent and against the Applicant-department and prays that following the rule of consistency, this Reference Application be also decided.

3. Heard.

4. No doubt the Reference in hand and the aforementioned-tendered-one by learned counsel for the Respondent, have similar facts and circumstance arising between the same parties which have been decided by the learned Division Bench appreciating the order passed by the learned Appellate Tribunal Inland Revenue, Lahore, whereby it has been held that the Applicant (present Respondent) having paid the amount of sales tax and SED before the issuance of said SRO but also before the issuance of show-cause notices from the department, was clearly held it entitled to the benefit of amnesty contemplated in the SRO 648(I)/2011 on 25.06.2011 and that to hold otherwise would be negation of justice, fair and equal protection of law. The Applicant having paid sales tax and SED due from him is as much as entitled to the amnesty contemplated in SRO 648(I)/2011 on 25.06.2011, as any other taxpayer who pays the due taxes after issuance of the SRO 648(I)/2011 on 25.06.2011, observed that this Court has to exercise jurisdiction on a question of law arising out of the Appellate Tribunal's order and the Reference was decided against the Department, as no question of law had arisen therefrom.

5. Seeking support from the above, we are of the view, though in the instant Reference questions of law said to have been proposed and argued before this Bench but actually these are questions of facts but not questions of law; as there is no legal infirmity or illegality seen by this Bench in the impugned order dated 11.10.2012, passed by the learned Appellate Tribunal Inland Revenue, Lahore, therefore, the rule of consistency demands rejection of this Reference. As no question of law arises we decline to exercise our jurisdiction. However, if there is any mistake/lacuna regarding findings of fact, the Applicant may avail remedy of rectification before the relevant forum.

6. Reference Application is decided against the Applicant-Department.

7. Office shall send a copy of this order under seal of the Court to the Appellate Tribunal Inland Revenue as per Section 47(5) of the Sales Act, 1990.

SA/C-16/L

Reference dismissed.